

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors of L B Finance PLC have the pleasure of presenting to the shareholders the Annual Report of the Board of Directors on the affairs of the Company together with the Consolidated Financial Statements of the Company and its subsidiaries for the year ended 31st March 2024 and the Independent Auditors Report on those Financial Statements, conforming to the relevant statutory requirements.

This Report includes the information as required by the Companies Act No. 7 of 2007 (Companies Act), Finance Business Act Directions No. 5 of 2021 on Corporate Governance read together with Finance Companies (Corporate Governance) Direction No. 3 of 2008 (as amended) and the Listing Rules of the Colombo Stock Exchange. It is also guided by the Recommended Best Practices on Corporate Governance.

GENERAL

L B Finance PLC (the Company) is a Licensed Finance Company in terms of the Finance Business Act No.42 of 2011.

It was incorporated under the Companies Ordinance No. 51 of 1938 as a private limited liability company on 30th May 1971, converted to a public limited liability company on 29th September 1982, and was admitted to the Official List of the Colombo Stock Exchange on 30th December 1997. The Company was re-registered as per the Companies Act No. 07 of 2007 on 6th June 2008 under Company Registration No. PQ 156.

The Company is a Registered Finance Leasing Establishment in terms of the Finance Leasing Act No. 56 of 2000.

The Ordinary Shares issued by the Company are listed on the Main Board of Colombo Stock Exchange.

The Company has been assigned a national long-term rating of BBB+ (lka) with a stable outlook by Fitch Ratings Lanka Limited.

Both the Registered Office of the Company and its Head Office are situated at No. 275/75, Prof. Stanley Wijesundera Mawatha, Colombo 07.

As per the requirements set out in Section 168 of the Companies Act No. 07 of 2007, the following information is disclosed in this Report for the year under review.

Information required to be disclosed as per the Companies Act No. 7 of 2007	Reference to the Companies Act	Level of compliance by the Company
The nature of the business of the Company	Section 168 (1) (a)	Page 179
Signed Group Financial Statements of the Company for the accounting period under review	Section 168 (1) (b)	Page 239 to 347
Auditor's Report on Group Financial Statements of the Company	Section 168 (1) (c)	Page 235 to 237
Changes in Accounting Policies during the accounting period	Section 168 (1) (d)	Page 249
Particulars of entries in the Interests Register made during the accounting period	Section 168 (1) (e)	Page 182
Remuneration and other benefits paid to the Directors during the accounting period	Section 168 (1) (f)	Page 318
Total amount of donations made by the Company during the accounting period	Section 168 (1) (g)	Page 185
Information on Directorate of the Company at the end of the accounting period	Section 168 (1) (h)	Page 181
Amounts payable to the Auditor as audit fees and fees for other services rendered during the accounting period as a separate disclosure	Section 168 (1) (i)	Page 185 to 186
Auditors' relationship or any interest with the Company	Section 168 (1) (j)	Page 186
Annual Report of the Board of Directors on the affairs of the Company to be signed on behalf of the Board by two Directors and the Company Secretary	Section 168 (1) (k)	Page 187
Information as per Section 168 (i)(b) to (j) in relation to the subsidiaries	Section 168 (2)	Pages 179 and 187

VISION, MISSION AND CORPORATE CONDUCT

The Company's vision, mission and values are given on page 10 of this Report.

PRINCIPAL ACTIVITIES

The Company's principal activities during the year were savings/deposit mobilisation, lending activities including Finance Lease/Vehicle Loan facilities, Gold Loans, Mortgage Loans, Personal Loans and other Credit Facilities, value added Services and Digital Financial Services.

The Company's subsidiaries, LB Microfinance Myanmar Company Limited, carried on Micro Finance business in Myanmar and Multi Finance PLC carries on business as a Licensed Finance Company.

The Company has an interest in the leisure sector through its investment in The Fortress Resorts PLC.

There were no significant changes in the nature of the principal activities of the Company during the year under review.

It is further declared that the Company has not engaged in any activity which contravenes laws and regulations.

REVIEW OF OPERATIONS

A review of the business of the Company and its subsidiaries and their performance during the year under review with comments on financial results, future strategies and prospects are contained in the Managing Director's Review on pages 28 to 30 which forms an integral part of this Report.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

FUTURE DEVELOPMENTS

An overview of the future developments of the Company is given in the Chairman's Message on pages 26 to 27, Managing Director's Review on pages 28 to 30 and the Management Discussion and Analysis on page 32.

FINANCIAL STATEMENTS

The Consolidated Financial Statements of the Company and its subsidiaries have been prepared and presented in accordance with the Sri Lanka Accounting Standards comprising Sri Lanka Financial Reporting Standards (SLFRSs) and Sri Lanka Accounting Standards (LKASs) laid down by The Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No. 07 of 2007, Finance Business Act No.42 of 2011 the directions and guidelines issued under the said Finance Business Act and the Listing Rules of the Colombo Stock Exchange.

Consequent to the Board Audit Committee's recommendations, the Financial Statements were reviewed and approved by the Board of Directors on 27th May 2024. The Consolidated Financial Statements of the Company and its subsidiaries duly signed by the Chief Financial Officer and two Directors on behalf of the Board which are attached hereto form an integral part of the Annual Report.

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

In terms of Section 150(1), 151, 152(1) and 153(1) and (2) of the Companies Act No. 7 of 2007, the Board of Directors of the Company is responsible for the preparation of the Financial Statements of the Group and the Company which reflect a true and fair view of the state of affairs of the Company and its subsidiaries as at the reporting date and the profit or loss or income and expenditure of the Company and its subsidiaries for the accounting period ending as at the reporting date.

The Directors confirm that the Income Statement, Statement of Financial Position, Statement of Changes in Equity, Cash Flow Statement and Notes to Financial Statements appearing on pages 239 to 347 have been prepared in conformity with the requirements of the Sri Lanka Accounting Standards, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the amendments

thereto, Companies Act No. 7 of 2007, directions and guidelines issued under the Finance Business Act No. 42 of 2011 and the Listing Rules of the Colombo Stock Exchange.

The Statement of Directors' Responsibilities for Financial Reporting is given on page 203 and forms an integral part of the Annual Report of the Board of Directors on the Affairs of the Company.

DIRECTORS' STATEMENT ON INTERNAL CONTROL

The Board has issued a statement on the Internal Control Mechanism of the Company as per Section 16.1 (ix) of Finance Companies (Corporate Governance) Direction No. 5 of 2021.

The said statement which forms an integral part of the Annual Report of the Board of Directors on the Affairs of the Company is given on page 179.

The Board has obtained an Assurance Report from the Independent Auditors on the Directors' Statement on Internal Control over Financial Reporting as referred to on page 206.

AUDITORS' REPORT

The Report of the Independent Auditors on the Financial Statements of the Company and the Group is given on page 235.

ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The accounting policies adopted in the preparation of the Financial Statements are given on pages 249. There were no significant changes to the accounting policies used by the Company during the year under review vis-à-vis those used in the previous year.

INCOME

The income of the Company for the year ended 31st March 2024 was Rs. 49,230 Million (2022/23 - Rs.42,756 Million)

Group Income during the year under review was Rs. 49,636 Million (2023/24 - Rs.43,133 Million)

An analysis of the Income is given in Note 2.1.1. to the Financial Statements.

FINANCIAL RESULTS AND APPROPRIATIONS

The Profit Before Tax increased by 29 % whilst the Company recorded a growth of 13% in Net Profit After Tax for the year under review in comparison to those of the preceding year.

The growth in total comprehensive income was 12%.

Details of appropriation of profit of the Company and the Group are given below:

	2023 Rs. '000	2022 Rs. '000
Profit for the year after payment of all the expenses of management, provision for depreciation and amortisation, impairment of loans and other losses, gold loan auction losses and tax on financial services	15,180,207	11,746,552
Less: Income Tax Expense	5,616,569	3,286,221
Profit After Tax	9,563,638	8,460,361
Unappropriated Balance Brought Forward from Previous Year	28,784,409	21,849,942
Actuarial Gains/(losses) on Defined Benefit Plans	(37,594)	5,277
Profit Available for Appropriation	38,348,047	30,315,550
Less: Appropriations		
Dividend Paid for Previous Financial Year	2,770,285	1,108,114
Interim Dividend Payable/Paid for Current Financial Year	1,246,629	-
Transfers During the Year	478,182	423,027
Total Appropriation	4,495,096	1,531,141
Unappropriated Balance Carried Forward	33,815,357	28,784,409
Proposed Final Dividend	Rs.3.50 per share	Rs.3.00 per share

RESERVES

The Reserves of the Company and the Group with the movements during the year under review are given in Note 2.35 to the Financial Statements on pages 316.

TAXATION

The Income Tax rate applicable to the Company's operations is 30% (1st April to 30th September 2022 – 24% and 1st October 2022 to 31st March 2023 – 30%)

The Company was also liable for Value Added Tax (VAT) on Financial Services at 18% (2022/23 - 18%) and Social Security Contribution Levy at 2.5% (1st October 2022 to 31st March 2023 – 2.5%)

THE BOARD OF DIRECTORS

The Board of Directors of the Company as at 31st March 2024 consisted of ten (10) Directors with a balance of skills, wide knowledge and experience in Entrepreneurship, Banking, Finance, Audit & Assurance, Legal and Marketing which is appropriate for the business carried out by the Company.

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on page 156 which also includes other directorships held by Directors.

Executive Directors

Mr. J A S S Adhihetty
Managing Director

Mr. Niroshan Udage
Deputy Managing Director

Mr. B D A Perera
Mr. R S Yatawara

Non-Executive Directors

Mr G A R D Prasanna – Chairman

Mr. M A J W Jayasekara * +

Ms. Yogadinusha Bhaskaran

Ms. Ashwini Natesan *

Mr. Dharmadasa Rangalle

Ms Yanika Amarasekera *

* Independent Directors

+ Senior Independent Director

Fit and Proper Assessment of Directors

In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, Declarations were obtained from the Directors who confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year under review and as at the date of such Declarations.

Extension of Office of the Managing Director

The approval of the Monetary Board of the Central Bank of Sri Lanka was granted on 21st June 2023 in terms of the Finance Business Act, Directions No.5 of 2021, for the Managing Director, Mr. J A S S Adhihetty to continue in office, for a period of one (01) year after attaining the age of seventy three (73) years. Accordingly, in terms of the said Regulatory approval read together with the shareholders' approval at the Annual General Meeting held on 30th June 2023, Mr Adhihetty continues to function as the Managing Director of the Company.

The Board at its meeting held on 17th April 2024, resolved to seek the approval of the Monetary Board, for a further extension of office of the Managing Director in terms of the said Directions and submitted the relevant documents to the Director – Department of Supervision of Non-Bank Financial Institutions in relation to the said extension.

Resignations/Cessations

There were no Resignations/Cessations during the year under review.

Directors of the Subsidiaries

The Directors of the subsidiary, LB Microfinance Myanmar Company Limited as at 31st March 2024 consisted of the following;

Mr. J A S S Adhihetty

Mr. Niroshan Udage

Mr. B D A Perera

Mr. R S Yatawara

The Directors of the subsidiary, Multi Finance PLC as at 31st March 2024

Mr. G A R D Prasanna

Mr. J A S S Adhihetty

Mr. Niroshan Udage

Mr. B D A Perera

Mr. R S Yatawara

Mr. D Ranagalle

There were no changes in the Directors of the subsidiaries.

Retirement by Rotation and Re-Election of Directors/Annual Assessment of continuing Directors

The names of the Directors who are:

- (i) subject to retirement by rotation in terms of Articles 85 and 86 of the Articles of Association, and,
- (ii) proposed for re-appointment in terms of Section 211 of the Companies Act No. 7 of 2007, and the applicable provisions thereto,
- (iii) subject to annual assessment of their fitness and propriety to continue as Directors in terms of Finance Business Act Directions No.6 of 2021, are set out in the undernoted Table.

The Board Nomination Committee / the Board of Directors have recommended the re-election/re-appointment / continuation of the said Directors, subject to the relevant Regulatory approval/s in terms of the applicable Directions issued under the Finance Business Act.

Directors' Interests Register and Directors' Interests in Contracts or Proposed Contracts

The Company maintains the Directors' Interests Register in terms of the Companies Act No. 7 of 2007.

Directors of the Company have made necessary declarations of their interests in Contracts and proposed Contracts in terms of Section 192 (1) and 192 (2) of the Companies Act. These interests are entered in the Interests Register which is deemed to form part and parcel of this Annual Report and available for inspection upon request.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The particulars of the Directors Interests in Contracts with the Company are given in Note 3.1 to the Financial Statements on pages 318 and form an integral part of this Annual Report.

The remuneration paid to the Directors during the year under review is entered in the Interests Register and the aggregate of such remuneration is disclosed in this Annual Report under "Directors' Remuneration" on page 318.

The relevant interests of Directors in the Shares of the Company as at 31st March 2024 as recorded in the Interests Register are given in this Report under Directors' shareholding on page 184.

In accordance with the Myanmar Companies Law, Directors of the

Myanmar subsidiary have disclosed their interests in shares and securities in the said subsidiary and also their interests in contracts and other arrangements with the said company.

The Directors of Multi Finance PLC too have disclosed their interests in Shares of the said subsidiaries together with their interests in contracts and agreements with the said subsidiary.

Directors' Declarations in terms of Rule 9.16(i) of the Listing Rules of the CSE

The Directors declare that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director was materially interested in a contract or a

proposed contract with the Company, they have refrained from voting on such contracts. It is further declared that during the year under review, the Company did not enter into any contracts in which any Director was interested.

Directors' Declarations in terms of Section 16.1(ii) and (v) of Finance Business Act Directions No. 5 of 2021 and Rule 9.10.4 (c) of the Listing Rules of the CSE

The Chairman and the Directors of the Company have made declarations as per the requirements in the above Directions / Rules, that there is no financial, business, family or other material/relevant relationship(s) between the Chairman and the Managing Director and/or amongst the members of the Board.

Name of Director	Applicable Article of the Articles of Association / Section of the Companies Act / Finance Business Act Directions	Other information
Ms. Ashwini Natesan	Articles 85 and 86 / FBA Directions No.6 of 2021	According to Articles 85 and 86, the Directors to retire by rotation at the Annual General Meeting (AGM) are those who (being subject to retirement by rotation) have been longest in office since their last election or appointment. If one-third (1/3rd) of the Directors eligible for retirement by rotation is not a multiple of three (03), the number nearest to (but not greater than) one-third (1/3rd) shall retire from office. As per the Articles, in calculating the said number, a Director appointed to the office of Chairman and Executive Directors are excluded. Accordingly, after excluding the Chairman and the four (04) Executive Directors, the number of Directors subject to retirement by rotation is five (05) and therefore, one (01) Director should retire by rotation. Accordingly, Ms. Ashwini Natesan who has been longest in office, since her last re-election retires and offers herself for re-election at the forthcoming AGM. The Company has applied to the Director – Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka, for the requisite regulatory approval in terms of Section 5.1.2 of the Finance Business Act Directions No. 06 of 2021, with respect to the said re-election and continuation. A Resolution will be placed before the shareholders at the forthcoming AGM for the re-election of the said Director which will be effective, upon the receipt of requisite Regulatory approval as aforesaid.

Name of Director	Applicable Article of the Articles of Association / Section of the Companies Act / Finance Business Act Directions	Other information
Mr. J A S S Adhihetty	Section 211 of the Companies Act / FBA Directions No.5 of 2021	Mr. J A S S Adhihetty, who holds the position of Managing Director of the Company, attained the age of seventy three (73) years on 4th July 2023. The Board at its meeting held on 17th April 2024 having considered the Finance Business Act Directions No.5 of 2021 and the approval granted by the Monetary Board on 21st June 2023, for a period of one (01) year from 4th July 2023, resolved to seek the prior approval of the Monetary Board for a further extension of time period vis-à-vis Mr. Adhihetty. In terms of Section 210 of the Companies Act, Mr. Adhihetty vacates office at the conclusion of the next Annual General Meeting. In line with the decision of the Board of Directors to seek an extension of time period for Mr. Adhihetty in terms of the aforesaid Directions No.5 of 2021 and the Company's application for the requisite Regulatory approval in terms of the said Directions No.5 of 2021, the Board further resolved to place a Resolution before the shareholders at the forthcoming Annual General Meeting in terms of Section 211 of the Companies Act seeking the approval of the shareholders for the re-appointment of Mr. Adhihetty specially declaring that the age limit referred to in Section 210 of the Companies Act shall not apply to Mr. Adhihetty, subject to receiving the requisite Regulatory approval in terms of the said Directions.
8 Other Directors	FBA Directions No.6 of 2021	In terms of Section 3.3 of the said Directions, the fitness and propriety of continuing Board of Directors is subject to annual assessment by the Director, Department of Supervision of the Non-Bank Financial Institutions of the Central Bank of Sri Lanka. The Company has applied to the Director – Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka, for the requisite regulatory approval in terms of the said Directions and the continuation of the office of the said Directors is subject to receiving the requisite Regulatory approval.

RELATED PARTY TRANSACTIONS WITH THE COMPANY

The Directors have also disclosed transactions, if any, that could be classified as Related Party Transactions (RPTs) in terms of LKAS 24.

With effect from 1st January 2016, all proposed non-recurrent (RPTs) have been placed before the Related Party Transactions Review Committee in accordance with Listing Rules of Colombo Stock Exchange, for its review and recommendations, which was extended to

recurrent transactions as well, during the financial year under review.

The aggregate value of transactions of related parties (as defined in LKAS 24 – “Related Parties Disclosure”) with the Company are set out in Note 3.1 to the Financial Statements on page 318.

The Board confirms that the Company has not engaged in transactions with any related party in a manner that would grant such party ‘more favourable treatment’ than that accorded to other similar constituents of the Company.

The Board of Directors declares that the Company is in compliance with the applicable provisions of the Listing Rules pertaining to (RPTs) during the Financial Year ended 31st March 2024.

DIRECTORS’ REMUNERATION

The remuneration of Directors of the Company and its subsidiaries is disclosed under Key Management Personnel compensation in Note 3.1.1 to the Financial Statements on page 318.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

RELEVANT INTERESTS OF DIRECTORS' IN SHARES

The Directors' shareholding and the relevant interests of Directors in the shares of the Company as at 31st March 2024 and 31st March 2023 are as follows;

	Shareholding as at 31st March 2024	Shareholding as at 31st March 2023
Mr G A R D Prasanna	-	-
Mr. M A J W Jayasekara	-	-
Mr. J A S S Adihetty	424,480	424,480
Mr. N Udage	2,861,235	1,816,540
Mr. B D A Perera	1,000,000*	-
Mr. R S Yatawara	8,593	8,593
Ms. Yogadinusha Bhaskaran	-	-
Ms. Ashwini Natesan	-	-
Mr. Dharmadasa Rangalle	-	-
Ms Yanika Amarasekera	-	-

* Shares held by the spouse, Mrs M C P Perera (nee Gunaratne).

Vallibel One PLC, holds 286,729,600 Ordinary Shares constituting 51.75% of the shares representing the Stated Capital of the Company.

Vallibel One PLC is also the holding company of Royal Ceramics Lanka PLC which holds 144,492,928 shares constituting 26.08% of the shares representing the stated capital of the Company.

Mr. J A S S Adihetty and Ms. Yogadinusha Bhaskaran are Directors of Vallibel One PLC, where they serve as a Managing Director and Non-Executive Director respectively.

BOARD SUBCOMMITTEES

The Board of Directors of the Company has formed seven (07) Committees in compliance with the Finance Business Act Direction No.5 of 2021 and read together with Finance Companies (Corporate Governance) Direction No.3 of 2008 (as amended), Finance Business Act Direction No.1 of 2022 on Technology Risk Management and Resilience, Listing Rules of the Colombo Stock Exchange, as per the Recommended Best Practices on Corporate Governance and SLFRS S1 and S2 (Sustainability Disclosure Standards).

They are the Board Audit Committee, Board Integrated Risk Management Committee, Board Human Resource and Remuneration Committee, Board Related

Party Transactions Review Committee, Board Nomination Committee (renamed as Board Nomination and Governance Committee), Board Information Security Committee, and Board Sustainability Committee.

The composition of the said committees is as follows:

Board Audit Committee (BAC)

Ms. Yogadinusha Bhaskaran
Chairperson/Non-Executive Director

Mr. M A J W Jayasekara
Independent Non-Executive Director

Ms. Ashwini Natesan
Independent Non-Executive Director

The Report of the said Committee appears on page 188.

Board Integrated Risk Management Committee (BIRMC)

Mr. M A J W Jayasekara
Chairman/Independent Non-Executive Director

Ms. Yogadinusha Bhaskaran
Non-Executive Director

Ms. Ashwini Natesan
Independent Non-Executive Director

The Report of the said Committee appears on page 192.

Board Human Resources and Remuneration Committee

Mr. M A J W Jayasekara
Chairman/ Independent Non-Executive Director

Mr. G A R D Prasanna
Non-Executive Director

Ms. Yanika Amarasekera
Independent Non-Executive Director

The Report of the said Committee appears on page 196.

Board Related Party Transactions Review Committee (BRPTRC)

Ms. Ashwini Natesan
Chairperson/ Independent Non-Executive Director

Mr. M A J W Jayasekara
Independent Non-Executive Director

Mr. Dharmadasa Rangalle
Non-Executive Director

The Report of said Committee appears on page 198.

Board Nomination Committee (BNC) [renamed as Board Nomination and Governance Committee]

Mr. M A J W Jayasekera
Chairman – Independent Non-Executive Director

Mr. G A R D Prasanna
Non-Executive Director

Ms. Ashwini Natesan
Independent Non-Executive Director

The Report of the said Committee appears on page 194.

Board Information Security Committee (BISC)

Ms. Ashwini Natesan
Chairperson - Independent Non Executive Director

Mr. Ashane Jayasekara
Independent Non-Executive Director

Mr. B D A Perera
Executive Director

The Report of the said Committee appears on page 200.

Board Sustainability Committee (BSC)

Ms. Yanika Amarasekera
Chairperson - Independent Non-Executive Director

Mr. G A R D Prasanna
Non-Executive Director

Mr. Nirosan Udage
Deputy Managing Director

Ms. Ashwini Natesan
Independent Non-Executive Director

The Report of the said Committee appears on page 202.

STATED CAPITAL AND DEBENTURES

The Stated Capital of the Company as of 31st March 2024 was Rs. 838,282,159/-represented by 554,057,136 Ordinary Shares. There were no changes in the Stated Capital of the Company during the year under review.

SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

Shareholders

There were 5,014 shareholders registered as of 31st March 2024 (4,939 shareholders as of 31st March 2023).

Distribution Schedule of Shareholders, Major Shareholders, Public Holding and Ratios and Market Price Information

Information as required by the Listing Rules on distribution of shareholding with the respective percentages, twenty (20) Major Shareholders, Public Holding

& Ratios and Market Price Information are set out on pages 350 to 354 under Financial Review.

DIVIDENDS

The Company paid an Interim Dividend of Rs. 2.25 per Ordinary Share for the year under review out of the profits of the Company.

The Directors have recommended a Final Dividend of Rs.3.50 per Ordinary Share for the year under review on the shares in issue of 554,057,136 to be approved by the shareholders at the forthcoming Annual General Meeting.

As required by Section 56 of Companies Act No. 07 of 2007 (Companies Act), the Directors have certified that they are satisfied that the Company will, immediately after the said distribution is made, satisfy the solvency test in accordance with the Companies Act and subsequent to such declaration, the Directors have obtained the Auditors Certificate of Solvency thereon.

In compliance with Guideline on Declaration of Dividends and Repatriation of Profits dated 31st January 2023 - Ref. 24/10/001/0019/005 issued under the Finance Business Act, the Company obtained the approval of the Director, Department of Supervision of Non-Bank Financial Institutions of the Central Bank of Sri Lanka for the proposed Final Dividend.

The said Final Dividend will, subject to approval by the shareholders, be payable on or before 5th July 2024 to those shareholders who have provided accurate dividend disposal instructions, by way of direct credit to their respective Bank Accounts, through SLIPS and on 18th July 2024 to those shareholders whose payments are to be made by way of cheques.

Property Plant & Equipment and Significant Changes in the Company's and Its Subsidiary's Fixed Assets/ Market Value of Land

The details of Property, Plant and Equipment are given in Notes 2.23 of the Financial Statements.

The Lands and Buildings owned by the Company are recorded at cost and details

of those properties and their market values as at 31st March 2024 as per valuations conducted by Mr. H V Manjula Basnayake an Independent Valuer. The said information is set out in Note 2.23.9 to the Financial Statements on page 298.

HUMAN RESOURCES

The Company's Employment Policy is totally non-discriminatory which respects individuals and provides career opportunities irrespective of the gender, race, and religion.

As at 31st March 2024, the Company had 4,132 employees (3,562 employees as at 31st March 2023).

Material issues pertaining to employees and industrial relations pertaining to the Company

No material issues pertaining to employees or industrial relations of the Company occurred during the year under review which required disclosure under Rule 7.6 (vii) of the Listing Rules.

Employee Share Option Schemes/ Employee Share Purchase Schemes

The Company has not implemented any Share Option/Share Purchase Schemes for its employees.

DONATIONS

The Company made donations to the value of Rs.9.98 million during the year under review.

The subsidiaries L B Myanmar and Multi Finance PLC did not make any donations during the year under review.

AUDITORS

Messrs Ernst & Young, Chartered Accountants served as the Independent Auditors during the year under review and also provided audit related services and permitted non-audit/consultancy services.

The Auditor of the subsidiary company, L B Microfinance Myanmar Company Ltd is UTW (Myanmar) Limited, a Member of Ernst & Young Global Limited.

The Auditors of the subsidiary company Multi Finance PLC is Messrs KPMG, Chartered Accountants.

A sum of Rs. 8,387,150/- is payable by the Company to the Auditors for the year under review comprising Rs. 4,857,724/- as Audit Fees, and 2,250,000/- as audit related fees and expenses and Rs1,279,425/- for non-audit services. The amounts payable to the Auditors of the subsidiary companies for the year under review are Subsidiary in Myanmar - Rs.2,020,455/- as Audit Fees – Statutory and Multi Finance PLC - Rs1,967,500/- as Audit Fees and Rs. 500,000/- as audit related fees and expenses.

The Board adopted a policy of rotation of Auditors in keeping with the principles of good Corporate Governance and to ensure compliance with Finance Business Act Direction No.5 of 2021 on Corporate Governance [Direction No.10.2 d)(ii)].

Following a comprehensive evaluation process by the Board Audit Committee, Messrs KPMG, Chartered Accountants were selected for appointment as the Company's Auditors, for the financial year ending 31st March 2025.

A Resolution to appoint Messrs KPMG, Chartered Accountants as the Company's Auditors and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting.

RISK MANAGEMENT AND INTERNAL CONTROLS

An ongoing process is in place to identify and manage the risks that are associated with the business and operations of the Company. The Directors review this process through the Board Audit Committee and the Board Integrated Risk Management Committee. Specific steps taken by the Company to manage the Risks are detailed under "Integrated Risk Management Report" on page 208.

The Board, through the Board Audit Committee and Board Integrated Risk Management Committee, conducts a review of internal controls covering financial, operational and compliance controls and risk management and has obtained reasonable assurance of their effectiveness and successful adherence therewith.

Directors' Statement on Internal Control is on page 204.

MATERIAL FORESEEABLE RISK FACTORS

Material Foreseeable Risk Factors as applicable to the business operations of the Company and subsidiaries are set out in Notes 4.1 to 4.5 to the Financial Statements.

APPRAISAL OF BOARD PERFORMANCE

A scheme of self-assessment is undertaken annually by each Director in conformity with the Section 1.5 (d) of the Finance Business Act Directions No. 05 of 2021 by answering a self-assessment questionnaire. The responses are collated by the Company Secretary, which are submitted to the Board for discussion and further evaluated by the Board.

In terms of the said Direction, the Board also carried out an annual self-evaluation of its own performance and that of the Sub-Committees to ensure that they discharge their duties and responsibilities satisfactorily in terms of the Companies Act No. 07 of 2007, Finance Business Act Direction No. 05 of 2021, Listing Rules of Colombo Stock Exchange and Best Practices on Corporate Governance.

Evaluations for the year under review of the Board of Directors and its Sub-Committees were discussed at the meeting of the Board of Directors held in the month of May, 2024.

CORPORATE GOVERNANCE

The Board of Directors is responsible for the Governance of the Company.

The Board of Directors has placed considerable emphasis on developing rules, structures and processes to ensure Integrity and Transparency in all of Company's dealings and on making the best effort in achieving performance and quality profits. The Board has continuously refined the structure and systems to ensure governance on the lines as defined, being aware all the time that it is accountable to the stakeholders and to the general public.

The Report on Corporate Governance which is on pages 164 to 178 describes the application of the Corporate Governance practices within the Company during the year under review.

COMPLIANCE WITH LAWS AND REGULATIONS

The Compliance Officer independently monitors adherence with all applicable laws, regulations and statutory requirements and reports to the Board of Directors, the Board Audit Committee and the Board Integrated Risk Management Committee.

The Board has made arrangements to make themselves aware of applicable laws, rules, and regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions through regular updates provided by the Compliance Officer, Head of Legal, the Company Secretaries, and the Directors themselves, whose expertise lies in the field of Law / Finance / Audit.

STATUTORY PAYMENTS

The Directors confirm that, to the best of their knowledge, all taxes, duties and levies payable by the Company, all contributions, levies and taxes payable on behalf of and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the reporting date have been paid or where relevant provided for, except for certain assessments where appeals have been lodged.

ENVIRONMENTAL PROTECTION

The Company has not engaged in any activity that is harmful or hazardous to the environment. Measures taken by the Company on environmental protection are given in the report on Natural Capital on page 146.

OUTSTANDING LITIGATION

In the opinion of the Directors and Company's Lawyers, pending litigation by and against the Company will not have a material impact on the financial position of the Company or its future operations.

CONTINGENT LIABILITIES

Except as disclosed in Note 4.3.2 to the Financial Statements, there were no material contingent liabilities as at the reporting date.

EVENTS AFTER THE REPORTING DATE

Except for matters disclosed in Note 3.10 to the Financial Statements, there are no material events as at the date of the Auditor's Report which require adjustment to or disclosure in the Financial Statements.

PROPOSED AMALGAMATION OF MULTI FINANCE PLC WITH THE COMPANY

In furtherance of the Financial Sector Consolidation Plan of the Central Bank of Sri Lanka, the Boards of Directors of Multi Finance PLC and the Company resolved, to amalgamate Multi Finance PLC with the Company under Section 239 of the Companies Act No.07 of 2007, whereby LB Finance PLC will be the Amalgamated Company, subject however to the regulatory approvals and the approval of the shareholders of both Multi Finance PLC and the Company, by way of Special Resolutions at Extraordinary General Meetings of the respective companies. The in-principle approval of the Central Bank of Sri Lanka has been received for the amalgamation, and an Extraordinary General Meeting of the Company will be held on 28th June 2024 following the Annual General Meeting for the purpose of considering and if thought fit, to pass the requisite Special Resolution approving the amalgamation.

GOING CONCERN

The Board of Directors has reviewed the Company's corporate/business plans and is satisfied that the Company has adequate resources to continue its operations in the foreseeable future. Accordingly, the Financial Statements of the Company are prepared based on the going concern concept.

ANNUAL GENERAL MEETING

The Notice of the Fifty First (51st) Annual General Meeting appears on page 431.

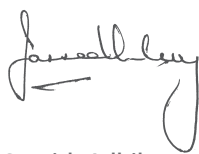
ACKNOWLEDGEMENT OF THE CONTENT OF THE REPORT

As required by section 168 (1) (k) of the Companies Act, this Report is signed on behalf of the Board of Directors of the Company by two (02) Directors and the Company Secretaries in pursuance of the authority granted by the Board Resolution passed on 31st May 2024 pursuant to having acknowledged the contents of this Annual Report.

Signed on behalf of the Board by



G A R D Prasanna
Chairman



Sumith Adhihetty
Managing Director



P W Corporate Secretarial (Pvt) Ltd
Secretaries

27 May 2024